



Stakeholders

A stakeholder is anyone who is affected by the performance of the company, while shareholders own one or more shares in a company, which makes each of them a part-owner of the company.

How it works

Because shareholders part-own the company, they have the right to vote on how it is managed and to receive a share of its profits. All shareholders are stakeholders, since the performance of the company has a direct impact on the value of the shares they own: when the company does well, the share value rises, and when it performs badly, the share value falls.

However, stakeholders can also be non-shareholders—individuals or groups who have an interest in what the company does or whose financial situation depends on the company. Some stakeholder groups are interested in a company mainly for its ethical treatment of workers, sustainable approach to the environment, and attitude to society. These are known as environmental, social, and governance (ESG) criteria.

Stakeholders' areas of interest

A few stakeholder groups are concerned only with environmental, social, and governance (ESG) factors, while others, such as shareholders and suppliers, may be more interested in the company's financial performance. Most stakeholder groups have at least some interest in both areas, especially since negative publicity for a company can cause share prices to fall.



Stakeholders with ESG concerns

Stakeholders have no direct involvement, but believe that companies have a responsibility to the communities they operate in, to respect the environment, human rights, and animal welfare.

\$892
million

the average drop in market value triggered by negative news about a company's human rights record



Nongovernmental organizations

- › Contribution to environmental and social causes
- › Legal compliance



Community

- › Impact on local inhabitants
- › Concern for broader social welfare

